

## UK Property Tax Note — 13 Walton (~£7m)

**Status:** Company-owned, currently let residentially

**Assumption:** England / Northern Ireland (SDLT). Scotland / Wales use different land taxes.

### 1) Individual buyer who wants to live in it

Two routes: buy the **property** from the company, or buy the **company** (shares).

#### A) Buy the property (£7m)

Buyer pays **SDLT**. No ATED (individual ownership).

SDLT is charged **slice by slice** (not one flat rate on the whole price):

|                       | Main home only  | Additional home   |
|-----------------------|-----------------|-------------------|
| <b>SDLT on £7m</b>    | <b>£753,750</b> | <b>£1,103,750</b> |
| Non-UK resident (+2%) | <b>£893,750</b> | <b>£1,243,750</b> |

#### Rate bands

Main home only:

| Slice of price      | Rate |
|---------------------|------|
| £0 – £125,000       | 0%   |
| £125,001 – £250,000 | 2%   |
| £250,001 – £925,000 | 5%   |
| £925,001 – £1.5m    | 10%  |
| Above £1.5m         | 12%  |

Additional home (already owns another dwelling; no main-residence replacement):

| Slice of price      | Rate |
|---------------------|------|
| £0 – £125,000       | 5%   |
| £125,001 – £250,000 | 7%   |
| £250,001 – £925,000 | 10%  |
| £925,001 – £1.5m    | 15%  |
| Above £1.5m         | 17%  |

First-time buyer relief does **not** apply at £7m.

#### £7m main-home SDLT build-up

| Slice               | Rate | Tax             |
|---------------------|------|-----------------|
| £0 – £125k          | 0%   | £0              |
| £125k – £250k       | 2%   | £2,500          |
| £250k – £925k       | 5%   | £33,750         |
| £925k – £1.5m       | 10%  | £57,500         |
| £1.5m – £7m (£5.5m) | 12%  | £660,000        |
| <b>Total</b>        |      | <b>£753,750</b> |

### £7m additional-home SDLT build-up

| Slice               | Rate | Tax               |
|---------------------|------|-------------------|
| £0 – £125k          | 5%   | £6,250            |
| £125k – £250k       | 7%   | £8,750            |
| £250k – £925k       | 10%  | £67,500           |
| £925k – £1.5m       | 15%  | £86,250           |
| £1.5m – £7m (£5.5m) | 17%  | £935,000          |
| <b>Total</b>        |      | <b>£1,103,750</b> |

**Company-structure point:** no special SDLT penalty just because the seller is a company. Practical restrictions are commercial/legal (board approval, lender consent, charges on title). Buying the property out is the cleaner route for owner-occupation.

### B) Buy the company (shares)

| Tax                                        | Amount / effect                                                                        |
|--------------------------------------------|----------------------------------------------------------------------------------------|
| SDLT on the property                       | Usually <b>none</b>                                                                    |
| Stamp / SDRT on shares                     | Typically <b>0.5%</b> of price paid for shares (e.g. £7m equity about <b>£35,000</b> ) |
| ATED if they live in it                    | <b>£75,450 per year</b> (2026/27; £5m–£10m band)                                       |
| ATED if company keeps letting commercially | Usually <b>£0 charge</b> (must still file)                                             |

Living in a company-owned £7m home also often creates **benefit-in-kind / director's loan** issues. For owner-occupation, buying the **property** is usually cleaner than buying the company and living in it.

**ATED bands (2026/27)** — relevant band for ~£7m is highlighted:

| Property value | Annual ATED |
|----------------|-------------|
| £500,001 – £1m | £4,600      |
| £1m – £2m      | £9,450      |
| £2m – £5m      | £32,200     |

| Property value    | Annual ATED    |
|-------------------|----------------|
| <b>£5m – £10m</b> | <b>£75,450</b> |
| £10m – £20m       | £151,450       |
| Over £20m         | £303,450       |

Charge is pro-rated for part-year occupation / ownership.

## 2) Empty more than 6 months while finding a buyer

### No UK national “vacancy tax.”

**Council tax:** empty-home premiums are set by the **local council** (often from 1–2 years empty, not automatically at 6 months). Council tax itself is usually still due. Check the specific authority.

**ATED** (company still owns it, value ~£7m):

- While genuinely in a **rental business** (including a normal void / re-letting): usually rental relief = **£0 charge**.
- There is **no statutory 6-month ATED holiday**.
- **Practical reality:** a normal landlord void of about **3–6 months** while re-letting is commonly run without ATED applying.
- If you have clearly **stopped renting** to refurbish/sell (sale-led, not really re-letting): assume relief has ended and **£75,450/year** can accrue for those days.
- **2 years empty, no tenant, sale mode:** do not assume you are ATED-free.

Agent line “avoid ATED for 6 months”: **not a real rule**. At most it is a rough void tolerance while you still look like a landlord — weak if facts show sale-only.

**Who decides rental purpose?** You self-assess; HMRC can challenge. “Exclusively for a property rental business” is the test. Marketing mainly for sale while claiming you are “still trying to let” is usually weak.

**Filing:** tenant leaving does not mean file ATED the next day. ATED is annual. If relief truly ends mid-year, amend within about **90 days** of the change of circumstances.

## 3) Other UK tax areas to be aware of

| Area                                                    | Why it matters                                                            |
|---------------------------------------------------------|---------------------------------------------------------------------------|
| Corporation tax on sale (if company sells the property) | Company gain on disposal; often affects net proceeds / price              |
| Share sale vs asset sale                                | Share sale: buyer usually pays ~0.5% stamp; buyer inherits company risks  |
| ATED filing                                             | If value > £500k, company normally files even when relief makes charge £0 |

| Area                                    | Why it matters                                                                                               |
|-----------------------------------------|--------------------------------------------------------------------------------------------------------------|
| Income / corporation tax on rent<br>VAT | While let, rental profits taxed in the company<br>Usually N/A for residential; watch if any commercial angle |
| Non-resident rules                      | Extra SDLT (+2%); possible non-resident CGT issues depending on seller profile                               |
| BIK / extraction                        | If anyone occupies company-owned home personally                                                             |
| Next ATED revaluation                   | Values next reset <b>1 April 2027</b> (affects bands from later periods)                                     |

### Bottom line

| Question                                    | Answer at ~£7m                                                                                                       |
|---------------------------------------------|----------------------------------------------------------------------------------------------------------------------|
| Individual buys to live in — property route | SDLT <b>~£754k</b> (only home) or <b>~£1.10m</b> (additional home); no ATED                                          |
| Individual buys to live in — company route  | <b>~0.5%</b> on shares; if they live there, ATED <b>£75,450/yr</b> + likely BIK issues                               |
| Empty 6 months                              | No national vacancy tax; council premium depends on local rules; ATED only if rental purpose/relief has really ended |
| "6 months ATED-free"                        | Not reliable as a rule; fine as a short re-let void, not as a sale holiday                                           |

*Illustrative note based on England/NI rates current as at 2026. Confirm exact SDLT with a conveyancer on the transaction facts. This is general guidance, not formal tax advice.*